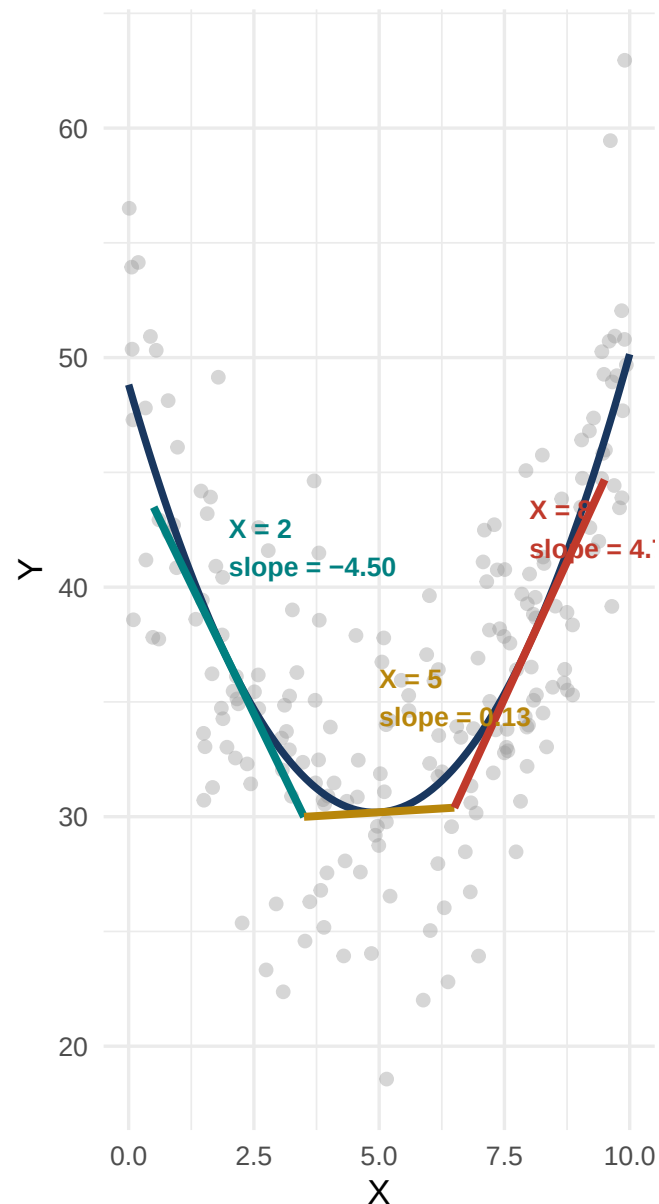


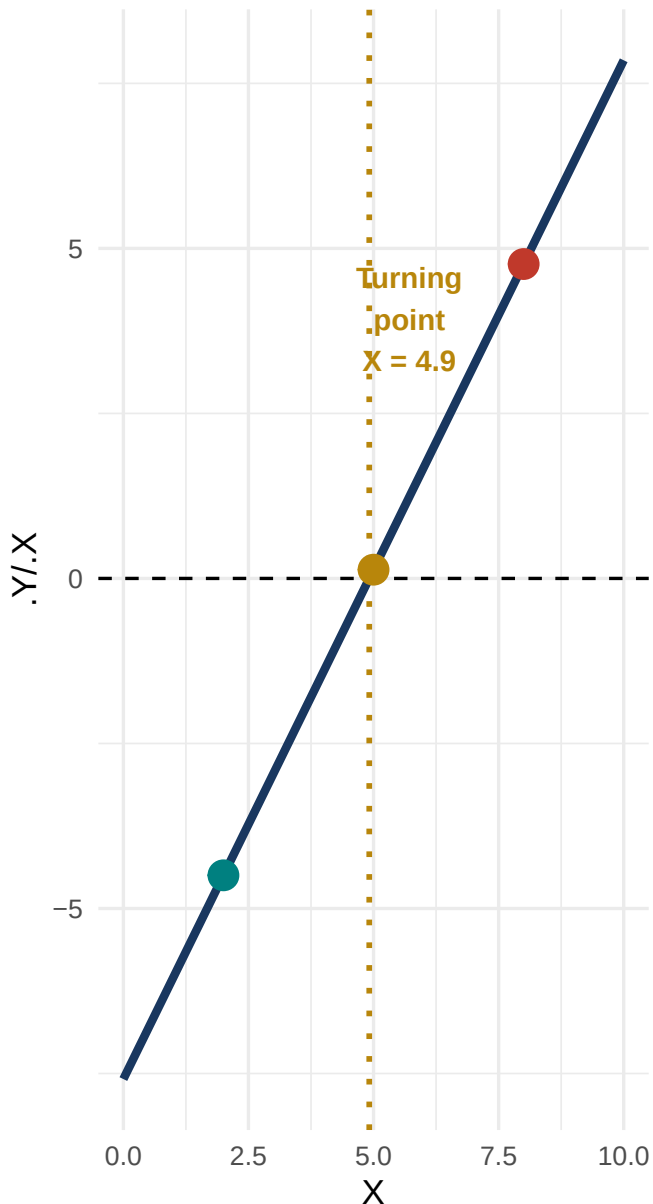
Quadratic fit

Tangent slope decreases as X increase



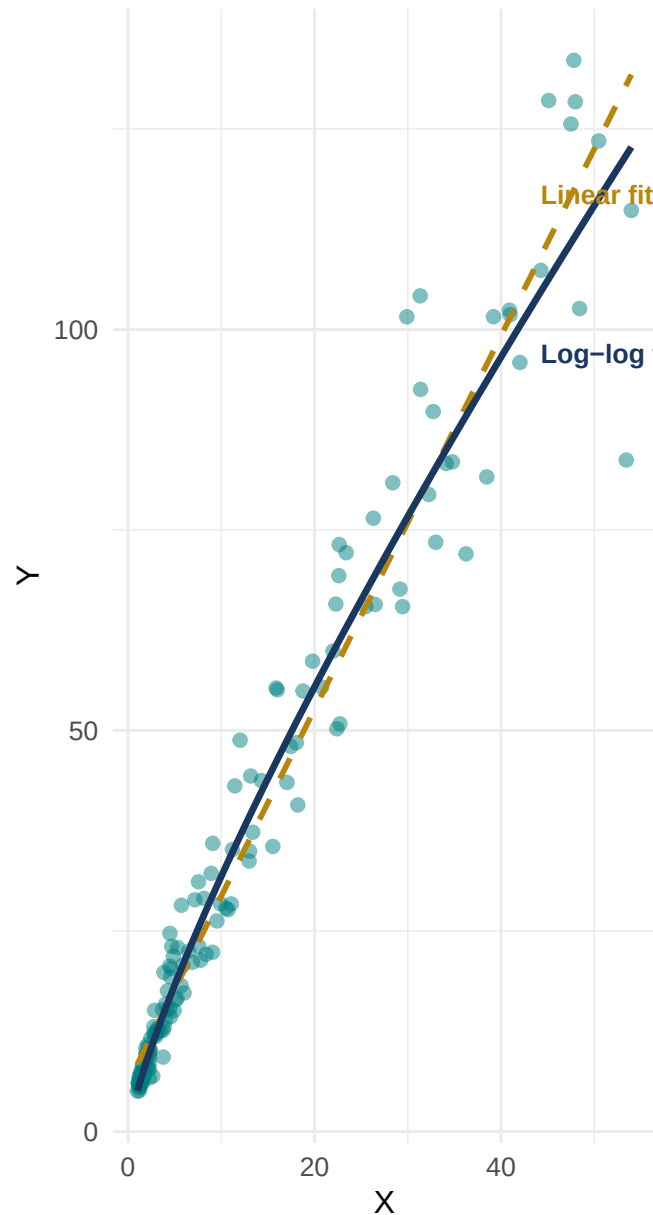
Marginal effect

$\frac{\partial Y}{\partial X} = \dots + 2 \dots X$ (linear in X)

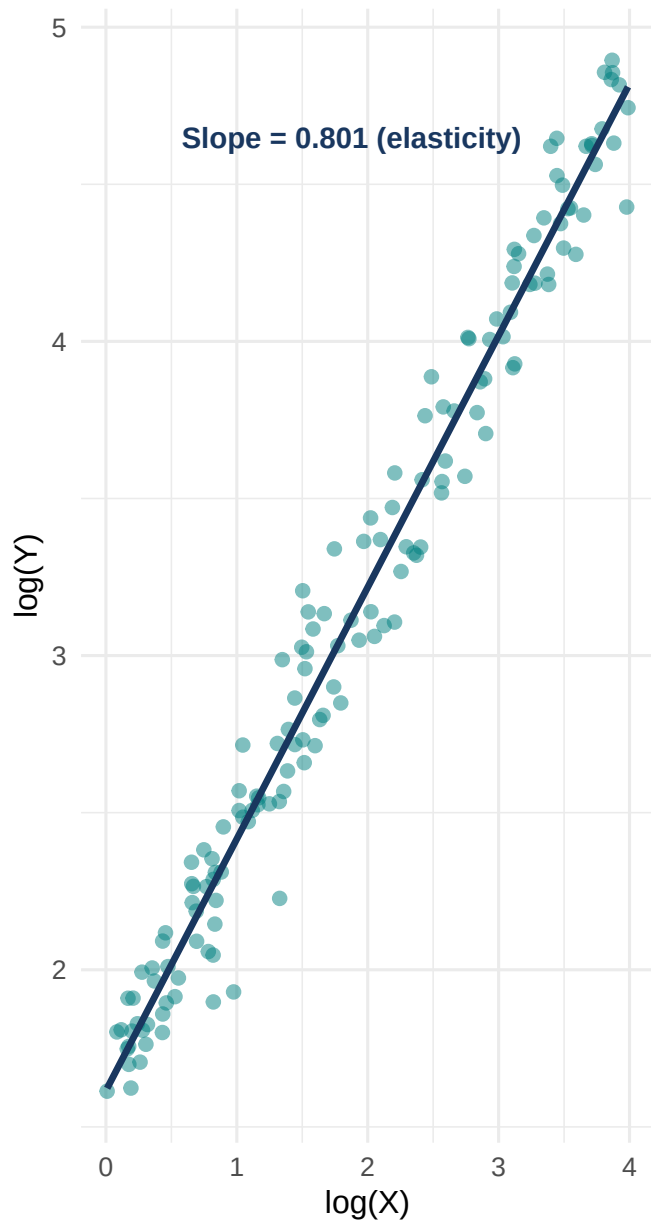


Log-Log Specification: Constant Elasticity

Level-Level (shows nonlinearity)



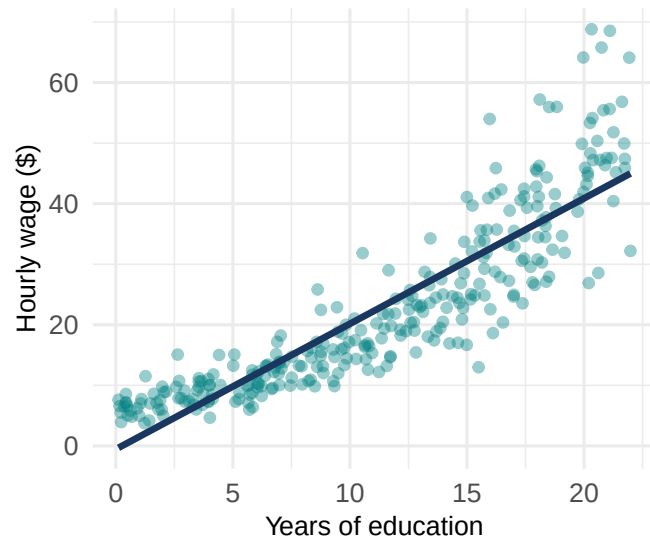
Log-Log (linearizes relationship)



Same 300 workers, same data – only the axes change

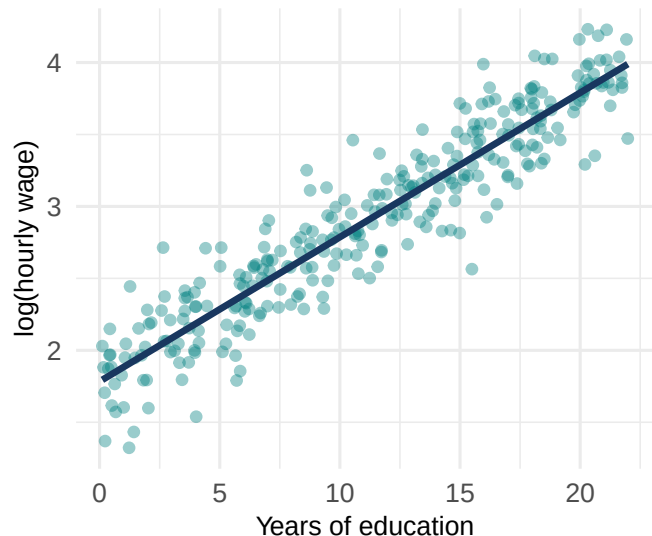
Level-Level

wage = .. + ...educ (.. = 2.07)



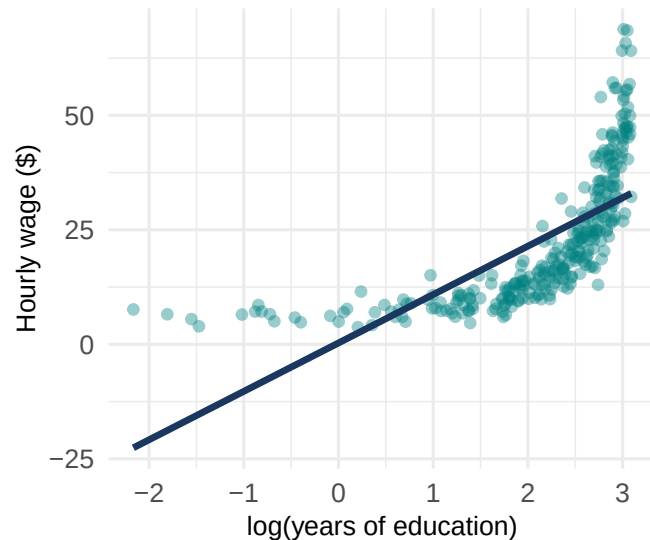
Log-Level . best fit

log(wage) = .. + ...educ (.. = 0.100 -> +10% per year)



Level-Log

wage = .. + ...log(educ) (.. = 10.57)



Log-Log

log(wage) = .. + ...log(educ) (.. = 0.57, elasticity)

